

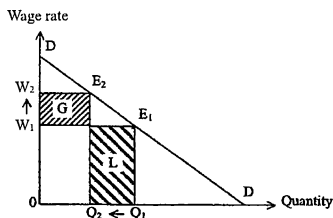
8.1 PRICE CONTROL

MARKING SCHEME

1990/CE/II/04 D	1996/CE/II/08 B	2004/CE/II/12 B (43%)	2009/CE/II/11 A (40%)	2017/DSE/I/18 C (47%)
1992/CE/II/24 D	1996/CE/II/09 B	2004/CE/II/13 C (60%)	2010/CE/II/14 C (44%)	2017/DSE/I/23 D (47%)
1992/CE/II/27 A	1997/CE/II/56 C	2005/CE/II/13 D (49%)	2013/DSE/I/14 C (41%)	2018/DSE/I/18 C (62%)
1993/CE/II/27 B	1998/CE/II/04 D	2007/CE/II/07 C (46%)	2013/DSE/I/15 D (54%)	2020/DSE/I/20 C
1994/CE/II/10 A	1999/CE/II/06 C	2008/CE/II/11 B (52%)	2014/DSE/I/21 A (65%)	2022/DSE/I/16 A
1995/CE/II/09 D	2000/CE/II/06 A	2008/CE/II/12 D (47%)	2015/DSE/I/13 C (57%)	2023/DSE/I/16 D
1995/CE/II/12 A	2002/CE/II/06 A (35%)	2009/CE/II/08 A (50%)	2015/DSE/I/19 C (67%)	2023/DSE/I/17 A
2025/DSE/I/44 C				

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1990/CE/I/1(b)
(i)



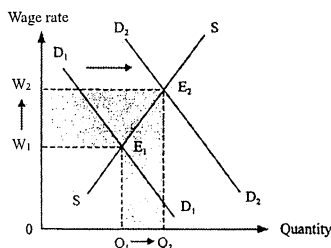
Indicate in the graph:

- $W \uparrow$ & $Q \downarrow$ (1)
- position of 'G' and 'L' (1)
- $G < L$ (1)

Verbal explanation:

- Assume that the demand for Filipino maids is elastic, (2)
- the percentage change in quantity demanded is larger than the percentage change in wage rate. (2)
- In other words, the increase in earnings from the increase in wage rate is smaller than the decrease in earnings from the decrease in quantity demanded. (1)

(ii)



Indicate in the graph:

- demand curve shifts to the right
- $W \uparrow$
- $Q \uparrow$

(1)
(1)
(1)

Verbal explanation:

The demand for local maids will increase, because
Filipino maids and local maids are substitutes.
The equilibrium wage rate will increase.
The equilibrium quantity will increase.

(1)
(1)
(1)
(1)

1994/CE/I/3

Market price = P_0

Quantity transacted = Q_0

The price ceiling is ineffective, because
it is higher than the equilibrium price.

(1)
(1)
(1)
(1)

2006/CE/I/1

(a) No, because

P_A is above the equilibrium price.

(1)
(1)

(b)

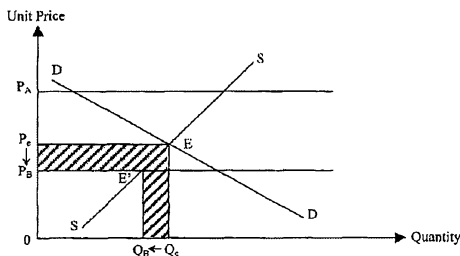


Diagram:

- original total expenditure = area OP_eEQ_e0

- new total expenditure = area $OP_BE'Q_B0$

OR indication of the decrease in total expenditure, e.g., the shaded area

(1)
(1)

Verbal Elaboration:

- price $\downarrow$ from P_e to P_B and quantity transacted $\downarrow$ from Q_e to Q_B
- total expenditure of consumers decreases

(1)
(1)

Microeconomics by Topic
8. Market Intervention

2012/DSE/II/5

(a) No, because

there is excess demand / shortage.

other competitive criteria/non-price competition, such as queuing, will emerge.

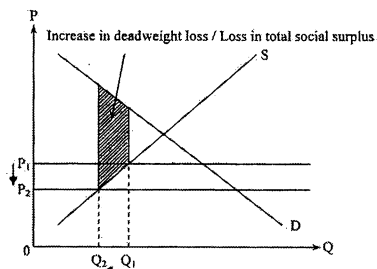
the new competitive criteria do not necessarily depend on income.

(1)
(2) } Max: 3
(2)

(c) No, because

there is greater deadweight loss / total social surplus decreases.

(1)
(1)



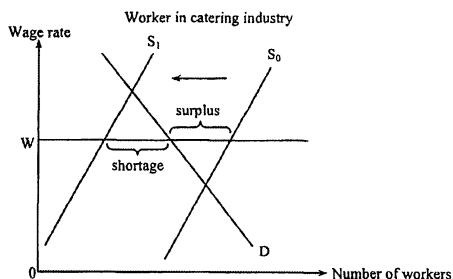
Indicate in the diagram:

- lowering of the price ceiling

- correct position of increase in deadweight loss / loss in total social surplus

(1)
(1)

2013/DSE/II/10(c)



Indicate on the diagram:

- wage rate set above the original equilibrium

- surplus

- magnitude of the leftward shift of the supply curve greater than the surplus

- final shortage

(1)
(1)
(2)
(1)

Verbal elaboration:

An effective price floor will create a surplus of workers.

If the restaurant workers change to work in other industries (for example, turn into security guards),

the supply of workers in this industry drops, and

there may be a shortage for workers at the minimum wage rate.

(1)
(1)
(1)
(1)

2014/DSE/II/3

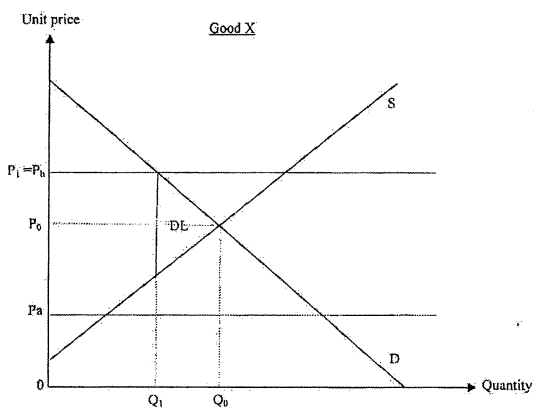


Figure 1

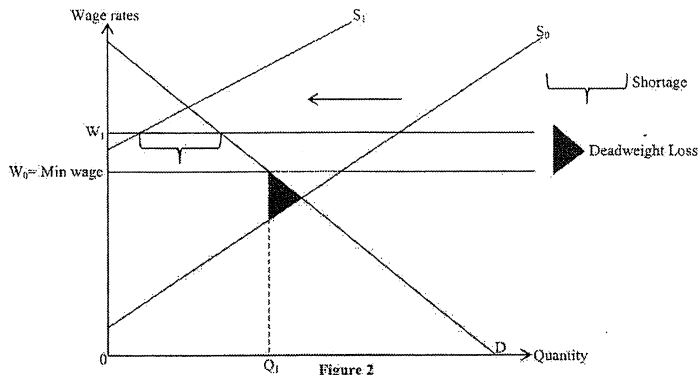
Indicate on the diagram:

- correct P_0 Q_0 (1)
- correct P_1 Q_1 (1)
- correct position of deadweight loss (DL) (1)

Verbal elaboration:

- No, because (1)
- the ineffective price floor (P_a) becomes an effective price floor (P_1) (1)
- at the new quantity (where the horizontal P_1 -line intersects the demand, (1)
- marginal benefit (maximum willingness-to-pay) is higher than marginal cost and there exists a deadweight loss. (1)
- (Max: 6)

Foreign Domestic Helpers in Hong Kong



(c) Illustrate in Figure 2:

- correct position of minimum wage
- correct position of Q_1
- correct position of deadweight loss

(1)
(1)
(1)

Verbal elaboration :

At Q_1 marginal benefit is greater than marginal cost.

(1)

(d) Illustrate in Figure 2:

- leftward shift of supply curve
- correct position of shortage at the higher wage rate

(1)
(2)

Verbal elaboration:

Filipino maids working in the Mainland and Filipino domestic helpers in Hong Kong are in competitive supply. (1)
If competition from the Mainland sharply reduces the supply of foreign domestic helpers in Hong Kong, (1)
then shortage of such workers could still arise even at a higher wage rate. (1)

(e) Employers may try to recruit domestic helpers from other countries to work in Hong Kong.

OR

The minimum wage may be raised / abolished by the government.

(1@, max: 1)

2020/DSE/II/10 D

D) Advantage of tariff over quota : The tariff revenue collected must go to government (quota revenue may belong to private firms / importers)

Disadvantage of tariff over quota : It may not be effective in controlling the import level while the local demand increase (the import level can still increase under tariff if demand increase but quota will not)